

On account of average GDP growth of 7.5 per cent during the period 2014-19, the Balance of Payments (BoP) position of India improved from an accumulated foreign reserve of US\$ 304.2 billion at end of 2013-14 to US\$ 412.9 billion at end of 2018-19. In recent period, financing of the current account has become less vulnerable to capital flight as compared to the previous period. At the same time, it has been observed that growth of forex reserves in India bears no correlation with movements in net Foreign Portfolio Investment (FPI). The widening of the current account deficit over the period has been largely on account of a higher trade deficit driven by rise in international crude oil prices (Indian basket). Net remittances from Indians employed overseas has been constantly increasing over the years helping stabilising the BoP situation. India's balance of payments position in 2018-19 came under pressure from higher current account deficit (CAD) as well as lower net capital inflows. Nevertheless, continuous improvement in BoP position of India shows sentiments and confidence being reflected by global economy which increasingly believes in India's growth story.

19.6 EXTERNAL DEBT

External debt is the component of total debt held by creditors of the foreign nations. Debt can be in the form of money owed to banks (Asian Development Bank (ADB), International Bank for Restructuring and Development (IBRD) outside the domestic nation or borrowings from the global financial institutions like the World Bank and International Monetary Fund (IMF).

In a developing country like India, external borrowing is important to increase the volume of funds available for investment. However, it is important that borrowed money be used for investment (other than in a situation of a dire emergency) so that economy grows and is able to repay the debt. Along with growth there is a need for foreign earning too to increase so that the debt can be repaid.

Classification of External Debt

The external debt in India is classified as:

(i) long-term debt and (ii) short-term debt.

The long-term debt consists of external commercial borrowings, borrowings from global financial institutions like IMF (Multilateral Debt), borrowings from private banks (Bilateral Debt), trade credit, NRI deposits, etc. On the other hand, short-term debt comprises of FII investments in government T-bills, investment in T-bills by foreign central banks, external debt liabilities of commercial banks and RBI.

External Debt Indicators

Key indicators such as debt to GDP ratio, debt service ratio, short-term debt to total debt, short-term and total debt to foreign exchange reserves, concessional debt to total debt and debt expressed in terms of present value

are commonly used to assess the stability and sustainability of a country's stock of external debt relative to the absolute level of the debt.

Evolution and Characteristics of India's External Debt

As per Ministry of Finance report⁴, external debt is largely used for financing specific projects at the Central and State levels. States are not permitted to contract external debt directly and therefore in the existing system all external debt (even those not used for financing Central Govt. projects) are first contracted in the Consolidated Fund of India and then on-lent to States. Most of the external debt is from Multilateral agencies such as IDA, IBRD, ADB, etc. A small proportion of existing external debt comes from bilateral agencies. All these loans are generally long-term variable rate loans linked to LIBOR. While calculating effective rate of interest for these loans, impact of exchange rate variation needs to be considered.

Prior to 1991, the bulk of short-term debt was borrowed by public sector canalising agencies for financing the import of petroleum, petroleum products and fertilisers. Such short-term debt constituted around 10 per cent of total external debt during the 1980s. The experience with the balance of payments crisis of 1991 led to the adoption of policies for prudent external debt management with less dependence on short-term foreign capital.

India's external debt has undergone significant level and compositional changes since the early 1990s. Drawing on the lessons from the external payment crisis of 1991 and the recommendations of the High-level Committee on Balance of Payments, 1993 (Chairman: Dr C. Rangarajan), the policy approach has been guided by⁵ :

- restrictions on size, maturity and end-use of External Commercial Borrowings (ECBs);
- LIBOR-based interest ceiling on non-resident deposits to discourage the volatile component of such deposits;
- pre-payment and refinancing of high cost external debt; and
- measures to encourage non-debt creating financial flows such as foreign direct investment (FDI) and foreign portfolio investment (FPI).

Highlights of India's External Debt⁶

At end-March 2020, India's external debt was placed at US\$ 558.5 billion, recording an increase of US\$ 15.4 billion over its level at end-March 2019. Commercial borrowings remained the largest component of external debt, with a share of 39.4 per cent, followed by non-resident deposits (23.4 per cent) and short-term trade credit (18.2 per cent).

At end-March 2020, long-term debt (with original maturity of above one year) was placed at US\$ 451.7 billion, recording an increase of US\$ 17.0

⁴ Government Debt, Status Report, March 2012, Department of Economic Affairs, Ministry of Finance

⁵ RBI Bulletin December 2017

⁶ RBI release on 30th Jun 2020

billion over its level at end-March 2019. Whereas, the share of short-term debt (with original maturity of up to one year) in total external debt declined to 19.1 per cent from 20.0 per cent, the ratio of short-term debt (original maturity) to foreign exchange reserves declined to 22.4 per cent from 26.3 per cent in the same period.

US dollar denominated debt continued to be the largest component of India's external debt, with a share of 53.7 per cent at end-March 2020, followed by the Indian rupee (31.9 per cent), Yen (5.6 per cent), SDR (4.5 per cent) and the Euro (3.5 per cent).

The external debt to GDP ratio – a summary measure of a country's potential to service external debt by switching production to exports – declined sharply from 28.3 per cent at end-March 1991 to 19.8 per cent by end-March 2019.

An increase in external debt to GDP ratio increases debt servicing and draws down on forex reserves, worsening BoP position. After a significant reduction in 2014-19 relative to 2009-14, India's external debt to GDP ratio slightly increased by 0.3 per cent at the end of first half of 2020 over its level at end-March 2019, primarily on account of an increase in commercial borrowings, non-resident deposits and short-term trade credit. Even though the increase in external debt – on average – exceeded the pace of expansion of the domestic economy in nominal terms since the second half of the 2000s, the ratio remained modest relative to its level during the 1990s and stood at 20.6 per cent of GDP at end-March 2020.

A rising share of short-term debt makes the BoP position more vulnerable because of relatively higher rates of interest on such borrowings. However, a contraction of short-term debt has been experienced in the falling share of short-term debt (with original maturity of up to one year) in total external debt since 2012-13. At a time when exports are not growing rapidly, loans at high interest rates can create pressure on BoP in the future.

Table 19.12: India's External Debt (Per cent of GDP)

2009-14	2014-19	2018-19
23.90	19.70	19.80

Source: Economic Survey 2019-20

Table 19.13 summarises the key external debt indicators of India reflecting that India's external debt is not unsustainable.

Debt Service Ratio indicates the claim that servicing of external debt makes on current receipts and is, therefore, a measure of strain on BoP due to servicing of debt service obligations. Debt Service ratio was badly high at 35.3 per cent in 1991 which increased till 2016 and then declined continuously since 2016 from 8.8 per cent to 6.5 per cent in 2020 (end-March). Total External Debt to Exports Ratio, another measure of debt sustainability, increased since 2014 till 2016 and then reduced to 107.1 per cent.

Table 19.13: India's Key External Debt Indicators

End-March	Ratio of External Debt to GDP	Debt Service Ratio	Ratio of Foreign Exchange Reserves to Total Debt	Ratio of Concessional Debt to Total Debt	Ratio of Short-term Debt to Foreign Exchange Reserves	Ratio of Short-term Debt (original maturity) to Total Debt
1991	28.3	35.3	7.0	45.9	146.5	10.2
2001	22.1	16.6	41.7	35.4	8.6	3.6
2011	18.6	4.4	95.9	14.9	21.3	20.4
2014	23.9	5.9	68.2	10.4	30.1	20.5
2015	23.8	7.6	72.0	8.8	25.0	18.0
2016	23.4	8.8	74.3	9.0	23.2	17.2
2017	19.8	8.3	78.5	9.4	23.8	18.7
2018	20.1	7.5	80.2	9.1	24.1	19.3
2019	19.8	6.4	76.0	8.7	26.3	20.0
2020	20.6	6.5	85.5	8.6	22.4	19.1

Source: Reserve Bank of India

As per the report published in the Economic Survey 2018-19, international comparison of external debt based on World Bank data shows that among the top twenty developing debtor countries in 2017, India's external debt to Gross National Income (GNI) ratio at 19.8 per cent was fourth lowest, while China continues to have the lowest ratio of 14 per cent. In terms of the foreign exchange reserves cover to external debt, India's position was fifth highest at 75.9 per cent, whereas India has fifth lowest short-term debt to foreign exchange reserves at 25.1 per cent among the top twenty developing debtor countries. Again as per the World Bank data, though India is the third largest debtor country (in absolute amounts) among developing countries (after China and Brazil), its average-age of debt is much higher given that its ratio of short-term debt to total debt is only about 19.0 per cent while that of China is 69 per cent. Higher age of debt reduces the rollover risk.

Overall, external debt of India continues to be dominated by long-term borrowings. India continues to be among the less vulnerable nations with its external debt indicators. India's external debt remains low as compared to the average external debt to GDP ratio of all developing countries (25.6 per cent) according to World Bank's International Debt Statistics, 2020. The prudent external debt policy pursued by the government has helped in maintaining foreign debt within manageable limits.

Check Your Progress 3

- 1) Examine recent scenario of current account deficit in India.

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- 2) Why did India face the adverse balance of payment prior to 1991?

- 3) What are the trends and challenges of India's Balance of Payments?

19.7 LET US SUM UP

Trade has long been considered, and accurately so, as one of the most preferred indicators of a country's capacity to sustain economic growth. That is because trade is a reflector of competitiveness. Currently, global trade is going through a challenging phase due to a variety of factors. Perhaps the chief among them is the trade wars between some of the major nations seeking to capture a large proportion of trade flows. These trade wars between the economies in the world result in negative repercussions across the global economy through their impact on the value chains and the creation of policy uncertainty. Other factors contributing to uncertainty which is affecting global economic growth (and thus global trade) include BREXIT. This, and the slowdown of growth in the EU, (including its major exporter, Germany) has led to subdued demand in one of the largest trading blocs in the world. Multilateralism has also not made much headway with the lack of progress of the Doha Development Round.

The composition of India's external trade has been changing from primary goods to manufacturing and engineering goods. Similarly, direction of India's exports is shifting away from the traditional markets (EU, USA, and Japan) to Asia. India's merchandise trade balance has improved from 2009-14 to 2014-19 although most of the improvement in the latter period was on account of more than fifty percent decline in crude prices in 2016-17. Engineering goods, petroleum products, precious stones, drug formulations and biologicals, gold and other precious metals continue to be top-exported commodities. Crude petroleum, electronic goods, machinery, gold, precious stones, and coal

constitute top import items. India's top five trading partners continue to be USA, China, UAE, Saudi Arabia, and Hong Kong. India's balance of payment has been in surplus resulting in rapid build-up of foreign exchange reserves largely due to massive inflows of foreign capital. Indian economy has been steadily becoming more open and hence international consequences need to be kept in mind by the policy makers.

19.8 KEYWORDS

Balance of Payments	: The balance of payments is the record of all international trade and financial transactions made by a country's residents.
External Debt	: External debt is the portion of a country's debt that is borrowed from foreign lenders, including commercial banks, governments, or international financial institutions
Degree of Openness	: The degree of openness is an economic metric calculated as the ratio of country's total trade, the sum of exports plus imports, to the country's gross domestic product.
Terms of Trade	: Terms of trade are the relative price of exports in terms of imports.
Trade Deficit	: Also called a negative balance of trade, a trade deficit is an amount by which the cost of a country's imports exceeds its exports.
Trade Policy	: Trade policy refers to the regulations and agreements that control imports and exports to foreign countries. In other words, it defines standards, goals, rules, and regulations that pertain to trade relations between countries.

19.9 REFERENCES

- 1) Balance of Payments and International Investment Position Manual, Sixth Edition (BPM6), International Monetary Fund.
- 2) Basu, Kaushik and Annemie Maertens, (ed.), (2011). *The New Oxford Companion to Economics in India*, Oxford University Press, New Delhi
- 3) Bhagwati, Jagdish, (2004). *In Defence of Globalisation*, Oxford University Press, New Delhi
- 4) EXIM Bank of India, Annual Reports.
- 5) RBI, Annual Reports.
- 6) Ministry of Finance, Economic Survey, 2017-18, 2018-19, 2019-20

- 7) Reddy, Y.V.: *India and the Global Financial Crisis: Managing Money and Finance*, Orient Blackswan, Hyderabad.

19.10 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Section 19.2 and answer
- 2) See Section 19.2 and answer
- 3) See Section 19.2 and answer
- 4) See Section 19.2 and answer

Check Your Progress 2

- 1) See Section 19.3 and answer
- 2) See Sub-section 19.3.5 and answer
- 3) See Section 19.3 and answer

Check Your Progress 3

- 1) See Section 19.5 and answer
- 2) See Section 19.5 and answer
- 3) See Section 19.5 and answer

UNIT 20 FOREIGN CAPITAL

Structure

20.0 Objectives

20.1 Introduction

20.2 Types of Foreign Capital

20.3 Foreign Investment in India

20.3.1 Trends and Magnitude of FDI

20.3.2 Sectoral Distribution of FDI

20.3.3 Countries of Origin of FDI in India

20.3.4 Evolution of Inward Foreign Capital Policy

20.3.5 Key Measures Taken by India to Attract FDI

20.3.6 Consolidated FDI Policy, 2020

20.4 Capital Outflows- Overseas Foreign Direct Investment

20.4.1 Drivers of India's OFDI

20.4.2 Evolution of OFDI Policy in India

20.4.3 Trends and Magnitude of OFDI flows from India

20.4.4 Sectoral Composition of OFDI flows from India

20.4.5 Destination-wise OFDI flows from India

20.5 Let Us Sum Up

20.6 Key Words

20.7 Answers or Hints to Check Your Progress Exercises

Appendix 20.1

Appendix 20.2

20.0 OBJECTIVES

After going through this unit, you will be able to:

- analyse the role of foreign capital in the growth process of a developing economy;
- know the types and sources of foreign capital;
- explain evolution and various phases of India's policy towards foreign capital;
- discuss composition, trend, and sources of origin of inward Foreign Direct Investment to India;
- examine composition, trend, and destinations of Overseas Foreign Direct Investment (OFDI) of India; and
- evaluate the Government of India's Policy towards Foreign Capital.